MGTS31103 · ESSEC MiM 1 · FALL 2026

Strategy and Management

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ASSESSMENT Participation individuelle 25 % · quiz intermédiaires et final (Wooclap, individuels) 25 % · présentation finale en groupe 50 %.

CONTENTS

1. S1 · Introduction to strategy (8 Oct.)

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Course objectives

The central question: **why do some companies perform better than others?** Three themes: **industry analysis** (attractiveness and competitive dynamics), **competitive advantage** (building and sustaining it) and **growth strategies** (diversification, internationalisation).

Learning journey: master strategy tools, apply them to real cases, develop analytical skills (diagnosis, peer collaboration, written and oral communication), and practise formulating recommendations while understanding implementation challenges.

Course agenda

Session	Topic
1 · 8 Oct.	Introduction to strategy
2 · 15 Oct.	External analysis
3 · 22 Oct.	Internal analysis
4 · 29 Oct. per the slides	Business level strategy (MyESSEC shows no class on 29/10 but a Saturday session on 28/11 at 4:30 pm)
5 · 5 Nov.	Strategic management of platform businesses
6 · 12 Nov.	Firm boundaries: M&A
7 · 19 Nov.	Strategy and societal issues
8 · 26 Nov.	Strategy and business models
9–10 · 3 and 10 Dec.	Group presentations

Rules and AI

- Be on time (late arrivals lose participation points), stay respectful and professional, display your name tag, put phones and laptops away when asked.
- AI is a tool and not using it would be a mistake, but do not outsource your brain: define your purpose, ask precise questions, think critically and use it responsibly. Expectations will be higher, and the lecturer will check that you understand what you say.

Where the word comes from

A military origin: Greek *stratos* (army) and *agein* (to lead); recommended reading: Sun Tzu, *The Art of War*.

Agincourt (25 October 1415, Hundred Years' War): 9,000 English against more than 25,000 French. The French rely on cavalry and heavy armour; the English choose a narrow valley, place archers on the flanks behind stakes and use the mud against the cavalry. Result: 7,000–10,000 French dead against 300–400 English. Victory without overwhelming force: pure strategy.

Some definitions

Author	Definition
Oxford Dictionary	A plan of action designed to achieve a long-term or overall aim
Ghemawat (Harvard)	The integrated set of choices that positions the business in its industry so as to generate superior financial returns
Porter (HBS)	Competitive strategy is about being different: delivering unique value through a distinct set of activities
Drucker	Strategy is about choosing what not to do
Mintzberg	Patterns in streams of decisions
Sun Tzu	Strategy without tactics is the slowest route to victory; tactics without strategy is the noise before defeat

Common thread: **choices, positioning, long-term value**.

Good strategy according to Rumelt (*Good Strategy / Bad Strategy*)

Strategy is a **coherent** set of analyses, concepts, policies, arguments and actions that responds to a high-stakes **challenge**. Three steps:

1. **Diagnosis**: what is the real problem to solve?
2. **Guiding policy**: the overall approach chosen to tackle it.
3. **Coherent actions**: concrete, coordinated steps that carry out the policy.

Southwest Airlines (founded 1967): how to compete with incumbents' hub-and-spoke networks and premium services?
Diagnosis: people want cheap point-to-point flights; short trips are time-sensitive; no need for meals.
Guiding policy: be the lowest-cost airline on short routes with fast, no-frills service.
Actions: a single aircraft type (737), 15-minute turnarounds, no assigned seats, secondary airports.
Result: the world's most profitable airline in the 1990s–2000s, because every action reinforces the same goal.

Spotting bad strategy (Rumelt)

1. **Failure to face the problem**: ignoring difficult realities (e.g. Harvester labour relations).
2. **Mistaking goals for strategy**: the destination is not the path (e.g. the "20/20" plan).
3. **Bad strategic objectives**: vague, unmeasurable, disconnected (e.g. a regional plan with 47 strategies and 178 actions).
4. **Fluff**: buzzwords without direction. E.g. a bank CEO: "our fundamental strategy is one of customer-centric intermediation": intermediation is what a bank does, and "customer-centric" is pure fluff.

Four questions to test a strategy: does it confront the real challenge? Is there a coherent guiding policy, not just goals? Are actions coordinated with the policy? Can you explain why each choice matters?

Statement	Verdict in class
"We will definitively be the low-cost leader in our market"	Not strategy: an objective (how? why us?)
"Lower costs 15% via supply chain optimisation, SKU reduction and automation"	Strategy: concrete, coherent actions
"We will dominate through superior customer service"	Not strategy: vague, everyone claims it
"Invest in R&D, marketing and new geographic markets"	Fluff: no diagnosis, no choice
"Focus on the premium eco segment, DTC model, sustainability certification and brand community"	Strategy: diagnosis, guiding policy, coherent actions

What is a strategic decision?

It meets expectations, concerns medium/long-term orientations, aims at a competitive advantage, involves resource allocation, influences operational decisions, covers a defined scope, considers the Company, the Customer and the Competition, and often involves transformation.

Vision, strategy, tactics

Level	Question	Who	Content
Vision	Why	C-level	The whole problem: which business, which market to attack
Strategy	What	Top managers	How the company orchestrates its activities in the market
Tactics	How	Field managers	How to operate within each domain (R&D, marketing, HR, finance…)

Mission: the current offer, who we are and what we do. **Vision**: the future, where we are going and who we will be.

Class exercise: "lower prices 15%", "launch a social media campaign" and "train the team on premium service" are **tactics** (the how); "become the low-cost leader via supply chain efficiency" and "build an eco-conscious customer community" are **strategies** (direction and choices).

How a strategy is defined

1. **Framing**: vision, objectives, mission.
2. **Analysis**: external (PESTEL, industry analysis, strategic groups, Porter's forces) and internal (key resources, competencies, value chain).
3. **Presentation**: corporate strategy, competition map, governance, corporate responsibility.
4. **Organisation**: structure, organisation, operating approach, culture, control, communication, change management.

With feedback loops: information, adjustments, updates.

Changing the game

- **The card game**: you win thanks to a weak opponent, your talent or the value of your cards… or by playing alone: the **blue ocean**.
- **Apple vs IBM**: IBM is in a red ocean (processor speed, RAM, hard drive, business customers, price war). Steve Jobs chooses simple, beautiful design, the experience, a broad audience. iMac (1998) → iPod (2001) → iPhone (2007) → iPad (2010): "simplicity beats complexity, beauty beats specs". Apple did not beat IBM at IBM's game; it stopped playing it.
- **Kennedy and the Moon (1961)**: the Soviets lead the space race (Sputnik 1957, Gagarin 1961) with limited resources. Kennedy redefines the game: a man on the Moon before 1970, returned safely. Apollo 11 (1969) cost about USD 280 billion in 2024 dollars, 3% of US GDP for 10 years: an industrial effort the Soviets could not match.
- Lesson: you do not beat a competitor on its terms; you redefine the game so your strengths become decisive. Real strategy can look stupid in the short term and dominate over 10 years.
- Bruce Henderson (BCG): every strategy meets a conflict between objectives and capabilities; attempting the impossible is not good strategy, just a waste of resources.

The session ended with a first case, Alaska Gold Mine, whose content is not in the published slides.